

7 November 2025

Subject Management's Discussion and Analysis of Financial Performance and Results of Operations For the three-month and nine-month periods ended 30 September 2025

To The President
The Stock Exchange of Thailand

Praram 9 Hospital Public Company Limited (the "Company") would like to report management's discussion and analysis of financial performance and results of operations for three-month and nine-month periods ended 30 September 2025 as follows:

Summary

In the third quarter of 2025, the Company continued to sustain strong growth in both revenue and profit compared to the same period last year. This success is a result of implementing a strategy focused on expanding the international patient base, particularly those from the Middle East. This group seeks specialized and complex medical services, for which the Company is well-equipped with expert medical teams, modern technology, innovative treatments, and reasonable pricing.

Furthermore, the Company consistently moved forward with developing internal operational efficiency, covering cost management, service standard enhancement, and the adoption of technology to elevate service quality. These efforts significantly contribute to the Company's profitability and sustainable growth potential.

For the third quarter of 2025, the Company recorded total revenue of 1,384.4 million baht, an increase of 12.0% from 1,235.9 million baht in Q3/2024. Net profit for the period was 223.3 million baht, representing a profit margin of 16.1% of total revenue. This is an increase of 7.4% from 208.0 million baht, which represented a profit margin of 16.8% of total revenue in Q3/2024.

For the nine-month period ended 30 September 2025, the Company reported total revenue of 3,932.0 million baht, an increase of 15.2% from 3,414.0 million baht for the same period in 2024. Net profit for the period was 605.8 million baht, representing a profit margin of 15.4% of total revenue. This is an increase of 19.7% from 506.1 million baht, which represented a profit margin of 14.8% of total revenue for the nine-month period in 2024.

Statement of comprehensive income

1. Quarterly Operational results

Revenues (Million Baht)	Three-month period ended 30 Sep		Changed (%)	Proportion	
	2025	2024		2025	2024
Medical revenues from Out-Patient (OPD)	740.8	701.1	+5.7	54%	57%
Medical revenues from In-Patient (IPD)	623.0	524.5	+18.8	45%	42%
Total Medical revenues	1,363.8	1,225.6	+11.3	99%	99%
Rental and other income	20.6	10.3	+100.2	1%	1%
Total Revenues	1,384.4	1,235.9	+12.0	100%	100%

For the third quarter of 2025, the Company recorded rental income and other income of 20.6 million baht, an increase of 100.2% from 10.3 million baht in Q3/2024. Adjustment of accrued expenses that have been set aside and have not been active for more than 1 year.

Medical revenues breakdown by category as follow:

	Three-month period ended 30 Sep		Change (%)	Proportion	
(Million Baht)	2025	2024		2025	2024
Medical revenues by Nationality					
Thai	982.3	1,010.0	-2.7	72%	82%
International	381.5	215.6	+76.9	28%	18%
Total Medical revenues	1,363.8	1,225.6	+11.3	100%	100%
Medical revenues by Payment method					
Self-Pay	793.6	807.5	-1.7	58%	66%
Insurance	320.2	326.8	-2.0	24%	27%
Corporate Contract	250.0	91.3	+173.8	18%	7%
Total Medical revenues	1,363.8	1,225.6	+11.3	100%	100%

For the third quarter of 2025, the Company recorded revenue from hospital operations of 1,363.8 million baht, an increase of 11.3% from 1,225.6 million baht in Q3/2024. Revenue from the Outpatient Department (OPD) increased by 5.7%, and revenue from the Inpatient Department (IPD) increased significantly by 18.8% compared to the same period last year. This growth resulted from both an increase in the number of patients and the treatment of more complex medical conditions.

Revenue from international patients grew substantially by 77.0% compared to the same period last year, driven mainly by Fly-in patients from the Middle East. The majority of services utilized by this group are covered by corporate contract. This resulted in the proportion of international patient revenue increasing to 28% of total hospital revenue. Conversely, revenue from domestic (Thai) patients decreased by 2.7% compared to the same period last year. This decrease is attributable to the seasonal outbreak of diseases in 2025 occurring earlier than in 2024, causing a higher rate of domestic patient admissions (IPD) to be reflected as early as Q2/2025. Consequently, the proportion of domestic patient revenue in 2025 stood at 72% of total hospital revenue.

Cost of Hospital Operations and Expenses (Million Baht)	Three-month period ended 30 Sep		Change (%)
	2025	2024	
Cost of hospital operations	865.8	780.7	+10.9
As % of medical revenues	63.5	63.7	
Selling and administrative expenses	269.7	211.7	+27.4
As % of total revenues	19.5	17.1	

For the third quarter of 2025, the Company reported the cost of hospital operations (including depreciation and amortization) of 865.8 million baht, representing 63.5% of revenue from hospital operations. This compares to 780.7 million baht, or 63.7% of revenue from hospital operations, in Q3/2024. The cost of hospital operations in this period included an increase due to an adjustment of the employee benefit provision. This adjustment was necessitated because the Company's policy of rewarding long-serving employees with gold ornaments to foster organizational commitment was impacted by a significant rise in the current price of gold, leading to an upward revision of the accrued provision. Despite this factor, the overall ratio of the cost of hospital operations to revenue decreased. This was a result of process improvements that enhanced efficiency and reduced expenses, coupled with greater economies of scale, as certain expenses are fixed costs which, when leveraged against higher revenue, resulted in a lower cost-to-revenue ratio for hospital operations.

Regarding selling and administrative expenses (including depreciation and amortization), the Company reported expenses of 269.7 million baht in Q3/2025, representing 19.5% of total revenue. This compares to Q3/2024, when the Company reported selling and administrative expenses (including depreciation and amortization) of 211.7 million baht, or 17.1% of total revenue. The increase in expenses was primarily driven by sales promotions, advertising, and public relations aimed at building brand awareness both domestically and internationally. This aligns with the organization's strategy to expand the service base to international patients. A portion of the increased expense also stemmed from an adjustment to the employee benefit provision. The Company has a policy of rewarding long-serving employees with gold ornaments to foster organizational commitment. Given the significant rise in the current price of gold, the previously accrued provision had to be adjusted. Furthermore, a portion of the increased expense was due to building repair and renovation costs following the earthquake event in March 2025, where the impact reported is net of the property insurance claim the Company had in place.

Net Profit (Million Baht)	Three-month period ended 30 Sep		Change (%)
	2025	2024	
Operating profit	248.9	243.6	+2.2
Depreciation and amortization	78.5	77.7	+1.0
EBITDA	327.4	321.3	+1.9
<i>EBITDA Margin (%)</i>	23.6	26.0	
Finance income	12.2	14.8	-17.7
Finance cost	(0.3)	(0.1)	+150.7
Income tax expenses	(37.5)	(50.2)	-25.3
Profit for the period	223.3	208.0	+7.4
<i>Net profit margin (%)</i>	16.1	16.8	
Remeasurement loss on employee benefits, net of income tax	(31.8)	-	+100.0
Total comprehensive income for the period	191.5	208.0	-7.9
Weighted average number of ordinary shares (Share)	786,300,000	786,300,000	
Basic earnings per share (Baht)	0.28	0.26	

Finance costs amounted to 0.3 million baht, an increase of 150.7% from 0.1 million baht in the same period last year. The main reason for this increase was the rise in the number of lease agreements falling under Thai Financial Reporting Standard 16 (TFRS 16) on Leases. This required the Company to recognize interest on lease liabilities as finance costs. However, the Company has no interest burden from loan liabilities, as there are no other interest-bearing liabilities apart from the said lease agreements.

Income tax expense amounted to 37.5 million baht, a decrease of 25.3% from 50.2 million baht in the same period last year. In Q3/2025, the Company received tax benefits under the investment promotion measures for community and social development, as stated in its investment promotion certificate.

2. Nine-month Operational results

Revenues (Million Baht)	Nine-month period ended 30 Sep		Changed (%)	Proportion	
	2025	2024		2025	2024
Medical revenues from Out-Patient (OPD)	2,095.7	1,989.2	+5.3	53%	58%
Medical revenues from In-Patient (IPD)	1,784.2	1,390.8	+28.3	46%	41%
Total Medical revenues	3,879.9	3,380.0	+14.8	99%	99%
Rental and other income	52.1	34.0	+53.2	1%	1%
Total Revenues	3,932.0	3,414.0	+15.2	100%	100%

For the nine-month period of 2025, the Company recorded rental income and other income of 52.1 million baht, an increase of 53.2% from 34.0 million baht in the same period last year. Adjustment of accrued expenses that have been set aside and have not been active for more than 1 year.

Medical revenues breakdown by category as follow :

	Nine-month period ended 30 Sep		Change	Proportion	
(Million Baht)	2025	2024	(%)	2025	2024
Medical revenues by Nationality					
Thai	2,853.1	2,839.5	+0.5	74%	84%
International	1,026.8	540.5	+90.0	26%	16%
Total Medical revenues	3,879.9	3,380.0	+14.8	100%	100%
Medical revenues by Payment method					
Self-Pay	2,364.4	2,286.8	+3.4	61%	68%
Insurance	938.5	903.5	+3.9	24%	27%
Corporate Contract	577.0	189.7	+204.2	15%	5%
Total Medical revenues	3,879.9	3,380.0	+14.8	100%	100%

For the nine-month period ended 30 September 2025, the Company recorded revenue from hospital operations totaling 3,879.9 million baht, representing an increase of 14.8% compared to the same period last year. This growth was supported by an increase in revenue from both the Inpatient Department (IPD) and the Outpatient Department (OPD). Specifically, revenue from IPD showed robust growth of 28.3%, while revenue from OPD increased by 5.3%.

When categorized by nationality, revenue from international patients expanded remarkably by 90.0%, which is consistent with the Company's strategy to grow its foreign customer base. Revenue from domestic (Thai) patients expanded by 0.5%. The high growth in the international patient segment caused a shift in the revenue mix, with international patient revenue now representing 26%, and domestic patient revenue accounting for 74% of total hospital revenue.

When categorized by payment method, revenue from the Corporate Contract showed the highest growth at 204.2%, primarily driven by the increase in foreign patients, particularly those from the Middle East. Revenue from the Self-Pay and Insurance groups also grew steadily, increasing by 3.4% and 3.9%, respectively. As a result of this growth, the proportion of revenue from the corporate contract shifted to 15% of total hospital revenue.

Cost of Hospital Operations and Expenses (Million Baht)	Nine-month period ended 30 Sep		Change (%)
	2025	2024	
Cost of Hospital Operations	2,462.4	2,228.6	+10.5
As % of medical revenues	63.5	65.9	
Selling and Administrative Expenses	765.4	597.1	+28.2
As % of total revenues	19.5	17.5	

For the nine-month period of 2025, the Company reported cost of hospital operations (including depreciation and amortization) totaling 2,462.4 million baht, representing 63.5% of revenue from hospital operations. This compares to the nine-month period of 2024, when the Company reported cost of hospital operations (including depreciation and amortization) of 2,228.6 million baht, or 65.9% of revenue from hospital operations. In the third quarter of 2025, the Company incurred an increase in expenses due, in part, to an adjustment of the employee benefit provision. This adjustment was made because the Company's policy of rewarding long-serving employees with gold ornaments to foster organizational commitment was impacted by a significant rise in the current price of gold, resulting in an upward revision of the accrued provision. Despite this factor, the ratio of the cost of hospital operations to revenue decreased overall. This reduction was a result of the Company's continuous efforts in process improvement, which led to greater efficiency and reduced expenses, coupled with increased economies of scale.

For the nine-month period of 2025, the Company recorded selling and administrative expenses (including depreciation and amortization) of 765.4 million baht, representing 19.5% of total revenue. This compares to the nine-month period of 2024, when the Company reported selling and administrative expenses (including depreciation and amortization) of 597.1 million baht, representing 17.5% of total revenue. The increase in expenses was primarily driven by costs for sales promotions, advertising, and public relations aimed at building brand awareness both domestically and abroad. A separate portion of the increase stemmed from depreciation of assets for facility renovations, intended to expand services and accommodate the growing number of patients. Furthermore, expenses increased due to the adjustment of the employee benefit provision in Q3/2025 following the significant rise in the price of gold, as well as costs for building repairs related to the earthquake event in March 2025 (net of the Company's property insurance claim).

Net Profit (Million Baht)	Nine-month period ended 30 Sep		Change (%)
	2025	2024	
Operating profit	704.1	588.2	+19.7
Depreciation and amortization	230.9	228.1	+1.3
EBITDA	935.0	816.3	+14.5
<i>EBITDA Margin (%)</i>	23.8	23.9	
Finance income	40.2	39.8	+1.1
Finance cost	(0.5)	(0.4)	+21.2
Income tax expenses	(138.1)	(121.4)	+13.7
Profit for the period	605.8	506.1	+19.7
<i>Net profit margin (%)</i>	15.4	14.8	
Remeasurement loss on employee benefits, net of income tax	(31.8)	-	+100.0
Total comprehensive income for the period	573.9	506.1	+13.4
Weighted average number of ordinary shares (Share)	786,300,000	786,300,000	
Basic earnings per share (Baht)	0.77	0.64	

Finance costs amounted to 0.5 million baht, an increase of 21.2% from 0.4 million baht in the same period last year. The main reason for this increase was the rise in the number of lease agreements falling under Thai Financial Reporting Standard 16 (TFRS 16) on Leases. This required the Company to recognize interest on lease liabilities as finance costs. However, the Company has no interest burden from loan liabilities, as there are no other interest-bearing liabilities apart from the said lease agreements.

Statement of Financial Position

Statement of Financial Position (Million Baht)	As of 30 Sep 2025	As of 31 Dec 2024	Change (%)
Current assets	3,407.6	2,657.5	+28.2%
Non-current assets	3,562.1	3,741.6	-4.8%
Total assets	6,969.7	6,399.1	+8.9%
Current liabilities	883.2	757.7	+16.6%
Non-current liabilities	270.6	202.8	+33.4%
Total liabilities	1,153.8	960.6	+20.1%
Total shareholders' equity	5,815.9	5,438.5	+6.9%
Total liabilities and shareholders' equity	6,969.7	6,399.1	+8.9%

1. Assets

As of 30 September 2025, the Company had current assets of 3,407.6 million baht, an increase of 28.2% from 2,657.5 million baht as of 31 December 2024. The main components of current assets are cash and cash equivalents of 1,390.4 million baht and other current financial assets of 1,521.5 million baht. The Company invested its surplus cash flow in various financial assets to achieve a higher rate of return than short-term bank deposits. These investments include fixed-term deposits, private sector debentures, and open-ended fund units.

As of 30 September 2025, the Company had non-current assets of 3,562.1 million baht, a decrease of 4.8% from 3,741.6 million baht as of 31 December 2024. This decrease was due to the increased investment of surplus cash flow in financial assets.

2. Liabilities

As of 30 September 2025, the Company had current liabilities of 883.2 million baht, an increase of 16.6% from 757.7 million baht as of 31 December 2024. The increase was primarily due to a rise in trade payables and other current payables, resulting from the Company's increase in revenue and profit.

As of 30 September 2025, the Company had non-current liabilities of 270.6 million baht, an increase of 33.4% from 202.8 million baht as of 31 December 2024. The increase was due to the accrual of employee benefit obligations, which was calculated by actuarial principles in accordance with accounting standards.

3. Shareholders' equity

As of 30 September 2025, the Company's shareholders' equity totaled 5,815.9 million baht, an increase of 6.9% from 5,438.5 million baht as of 31 December 2024. This was primarily attributable to total comprehensive income for the nine-month period of 2025 of 573.9 million baht, offset by dividend payments of 196.6 million baht.

Cash flow statement

Cash flow statement (Million Baht)	Nine-month period ended 30 Sep	
	2025	2024
Cash flows from operating activities	828.5	829.3
Cash flows from (used in) investing activities	368.7	(1,637.2)
Cash flows used in financing activities	(201.7)	(239.7)
Net increase (decrease) in cash and cash equivalents	995.5	(1,047.6)

For the nine-month period ended 30 September 2025, the Company had net cash from investing activities of 368.7 million baht. This was a result of an additional investment of 73.3 million baht of surplus cash flow into debt instruments, the redemption of maturing fixed deposits totaling 680.0 million baht, and interest received of 52.0 million baht. These inflows were offset by cash outflows of 290.0 million baht for the purchase of assets, including advance payments for asset acquisitions during the period.

For the nine-month period ended 30 September 2025, the Company had net cash used in financing activities of 201.7 million baht, resulting from dividend payments and the repayment of principal on lease liabilities. This compares to net cash used in financing activities of 239.7 million baht during the same period last year.

Key Financial Ratio		Nine-month period ended 30 Sep	
		2025	2024
Liquidity Ratio			
Current ratio	(Time)	3.9	3.4
Average collection period	(Day)	26.7	24.3
Average days sales of inventory	(Day)	6.0	5.9
Average account payables days	(Day)	25.7	22.8
Cash cycle	(Day)	7.0	7.4
Profitability Ratio			
Gross profit margin	(%)	36.5	34.1
Net profit margin	(%)	15.4	14.8
Return on average shareholders' equity *	(%)	14.6	13.6
Return on average assets*	(%)	12.2	11.5
Financial Policy Ratio			
Debt to equity ratio	(Time)	0.2	0.2
Interest bearing debt to equity ratio	(Time)	-	-

Remark * The information from financial statements adjusted to fully annualized numbers by using the numbers in the current quarter plus the previous 3 quarter financial information.

Please be informed accordingly,

Yours sincerely,

Praram 9 Hospital Public Company Limited

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Satian Pooprasert, M.D.
Chief Executive Officer